

Price List for Alternative Control Services



1 July 2018 to 30 June 2019

Version 1.0



Revision history

Version	Date	Summary of changes
1.0	1 July 2018	Initial 2018-19 Price List for Alternative Control Services

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1 Introduction

1.1 Overview

On 30 June 2016, Ergon Energy Corporation Limited (Ergon Energy) became a subsidiary of Energy Queensland Limited which is the holding company for both Energex and Ergon Energy. Ergon Energy is a Distribution Network Service Provider (DNSP) to around 730,000 customers in regional Queensland. Our service area covers around 97 per cent of Queensland and has approximately 160,000 kilometres of power lines and one million power poles. Around 70 per cent of our network's power lines are radial and service mostly rural areas with very low levels of customers per line kilometre. Ergon Energy provides a number of different services. The Australian Energy Regulator (AER) decides how these services are classified and how they are regulated in its Distribution Determination. This is important as it determines how prices are set and how charges are recovered from our customers.

For the 2015 to 2020 period, most of our services are classified as Direct Control Services. These services are subject to direct regulatory oversight by the AER, through price or revenue setting. Direct Control Services are further classified into Standard Control Services and Alternative Control Services.

Standard Control Services are core distribution services associated with the access and supply of electricity to customers. They include network services (e.g. construction, maintenance and repair of the network), some connection services (e.g. small customer connections) and Type 7 metering services. We recover our costs in providing Standard Control Services through network tariffs billed to retailers.

Alternative Control Services are comprised of:

- *Fee based services* – one-off distribution services that we undertake at the request of an identifiable customer, retailer or appropriate third party which are levied as a separate charge, in addition to our Standard Control Services. These services are priced on a 'fixed fee' basis as the costs of providing the service (and therefore price) can be assessed in advance of the service being requested.
Examples of fee based services include temporary connections, de-energisations, re-energisations and supply abolishment.
- *Quoted services* – similar to fee based services, but they are 'priced on application' as the nature and scope of these services are variable and the costs (and therefore price) are specific to the individual requestor's needs (e.g. design and construction of connection assets for major customers, real estate development connections and special meter reads etc).
- *Default Metering Services* – relate to:
 - Type 5 and 6 meter installation and provision (before 1 July 2015).
 - Type 5 and 6 meter installation and provision (on or after 1 July 2015 up until the commencement of Power of Choice on 1 December 2017)¹, where the replacement meter is initiated by Ergon Energy as a DNSP.
 - Type 5 and 6 metering maintenance, reading and data services.

¹ The Power of Choice rule changes only apply to supply networks that are connected to the national grid and subject to Chapter 7 of the National Electricity Rules. Ergon Energy will remain responsible for metering in our Mount Isa-Cloncurry and Isolated supply networks.

We recover our costs of providing Default Metering Services through daily capital and non-capital charges based on the number and type of meters we provide the customer. These charges are billed to retailers.

- *Public Lighting Services* – relate to the provision, construction and maintenance of public lighting assets owned by Ergon Energy, and emerging public lighting technology. We recover our costs of providing Public Lighting Services through a daily public lighting charge billed to retailers. We also charge a one-off exit fee, when a customer requests the replacement of an existing public light for a light emitting diode (LED) luminaire before the end of its useful operational life.²

1.2 Purpose

This Price List sets out Ergon Energy's Alternative Control Services and the prices that apply to fee based services, Default Metering Services and Public Lighting Services in 2018-19. It is structured as follows:

Section	Description
Section 1	▪ Provides an overview of our Price List and our other supporting network pricing documents.
Section 2	▪ Outlines the pricing arrangements for Alternative Control Services, including where interested parties can find further information about how the prices are calculated. ▪ Includes information on Schedule 8 of the <i>Electricity Regulation 2006</i>, and how this impacts the prices we can charge for certain Alternative Control Services. ▪ Summarised changes that apply to our Alternative Control Services in 2018-19.
Appendix 1	▪ Provides a website link to the <i>2018-19 Network Tariffs</i> spreadsheet. This spreadsheet sets out, among other things, a list of our fee based services, quoted services, Default Metering Services and Public Lighting services, including the rates and associated product codes. ▪ Includes explanatory notes on the application of our Alternative Control Services tariffs.
Appendix 2	▪ Provides further explanation on the different types of metering services provided by Ergon Energy. ▪ Sets out how the daily capital and non-capital charges for Default Metering Services charges are determined and applied for existing and new metering installations. ▪ Explanatory notes on charges applicable to public lighting installations.
Appendix 3	▪ Sets out further explanation on charges that may be applicable to a public lighting installation.

1.3 Supporting network pricing documents

In addition to this ACS Price List, we have a number of network pricing documents to assist network users, retailers and interested parties understand the development and application of network tariffs, Alternative Control Services prices and connection charges. These documents are outlined in Figure 1 below and are available on Ergon Energy's website at:

<https://www.ergon.com.au/network/network-management/network-pricing>

² Outside of our LED transition program.

Figure 1: Supporting network pricing documentation

Tariff Structure Statement	• Sets out the proposed tariff structures for the 2017 to 2020 period • Details how the proposed tariff structures comply with the pricing principles • Describes the tariff-setting process for Standard and Alternative Control Services • Provides details on the assignment of customers to tariff classes and tariffs • Approved by the AER in February 2017, following stakeholder consultation
Pricing Proposal	• Provides additional guidance on the compliance requirements of Chapter 6 of the National Electricity Rules (NER), and how Ergon Energy's prices for our Standard and Alternative Control Services meet these requirements • Submitted to the AER annually, and updated as required
Information Guide for Standard Control Services Pricing	• Sets out the basis upon which Ergon Energy's revenue cap for Standard Control Services is recovered from various customer groups through network tariffs • Provides a description of the network tariffs • Published annually
User Guides	• Provide an introduction to the current network tariffs for each customer group • Updated as required
Network Tariff Guide	• An operational document for customers, retailers and consultants, setting out the Network Tariff Codes and application rules and rates for each Network Tariff Code • Applies to network users connected to Ergon Energy's regulated distribution network • Published annually, and updated as required
Price List for Alternative Control Services	• Sets out Ergon Energy's Alternative Control Services and the prices that apply for fee based services, Default Metering Services and Public Lighting Services • Published annually, and updated as required
Connection Policy	• Sets out when a connection charge may be payable by retail customers or real estate developers and the aspects of the connection service for which a charge may be applied • Details how Ergon Energy calculates the capital contribution to be paid • Approved by the AER in 2015 as part of the Distribution Determination

2 Pricing arrangements

2.1 Establishing tariffs for Alternative Control Services

Ergon Energy's Alternative Control Services are regulated under a price cap control mechanism. This means the AER determines our efficient costs and approves a maximum price (or schedule of rates) that we can charge for a service.

Section 11 of our Tariff Structure Statement (TSS) sets out the process we undertake each year to establish our prices for Alternative Control Services. The approach to setting tariffs varies for each type of Alternative Control Service:

- For our fee based services, we calculate a cost build-up price using the quoted services formula and a capped price using the fee based ancillary network services formula set out in the Distribution Determination. The prices for each fee based service are the lower of these two amounts.
- For our quoted services, we use the quoted services formula to develop the price to apply, taking into account the actual requirements of the job being requested. These services are generally shown as 'POA' in the *2018-19 Network Tariffs* spreadsheet.
- For our Default Metering Services and Public Lighting Services, we apply the relevant price cap formulae specified in the Distribution Determination. The exception to this is the public lighting exit fees, which are escalated by inflation only.

2.1.1 Queensland Government cap on fee based and quoted services

Schedule 8 of the *Electricity Regulation 2006* sets further price caps on a number of fee based and quoted services.³ As the maximum fees in Schedule 8 are imposed through legislation, they take precedence over the maximum prices otherwise approved for these services by the AER.

In practice, Schedule 8 requires Ergon Energy to:

- Set lower fixed prices for some fee based services, because of fees explicitly set out for the service in Schedule 8 of Part 5 Amendment of Electricity Regulation 2006 (Subordinated Legislation 2018 No.63).
- Cap prices on remaining fee based services by charging customers on long rural or isolated feeders the same fixed price as that applying to customers on urban and short rural feeders through Schedule 8 of the Electricity Regulation 2006.
- Set fixed prices for some quoted services, because of fees explicitly set out for the service in Schedule 8 of Part 5 Amendment of Electricity Regulation 2006 (Subordinated Legislation 2018 No.63).

The application of these lower prices means we incur a revenue shortfall in providing some Alternative Control Services. This revenue shortfall cannot be recovered from other customers or via other charges.

The services impacted by Schedule 8 are identified in the *2018-19 Network Tariffs* spreadsheet, tab entitled "ACS Price List" (impacted services have a blue background).

³ The Department of Natural Resources, Mines and Energy is responsible for the *Electricity Regulation 2006*.

2.1.2 Call out fees

Call out fees apply when we attend a premises and are unable to complete the work due to customer or retailer fault (e.g. a dangerous dog or a locked gate).

The call out fees for fee based services and Default Metering Services are set out in the *2018-19 Network Tariffs* spreadsheet. For quoted services, we will charge the actual costs incurred.⁴

Consistent with the Schedule 8 requirements, we have capped call out fees for some fee based services and quoted services. This means:

- For fee based services where the call out fee approved by the AER is more than the Schedule 8 price of the associated service, we have applied the Schedule 8 price.
- For quoted services impacted by Schedule 8, we have applied the Schedule 8 price of the associated service. The exception is re-energisations after hours. We have calculated a specific call out fee which is less than the Schedule 8 price of the associated service. This is to ensure we do not over-recover our costs.

2.2 Metering and public lighting services

We provide a number of different services in relation to metering and public lighting. The way we recover costs associated with providing these services varies, consistent with the AER's Distribution Determination. To assist stakeholders, we have summarised these pricing arrangements in Appendix 2 (metering) and Appendix 3 (public lighting).

The *2018-19 Network Tariffs* spreadsheet contains the 2018-19 prices for metering and public lighting services that are classified as Alternative Control Services.

2.3 Alternative Control Services changes

As noted in our *2018-19 Pricing Proposal*,⁵ a number of amendments have been made to our Alternative Control Services. These changes relate to the commencement of Power of Choice on 1 December 2017.

In November 2015, the Australian Energy Market Commission (AEMC) finalised its *Competition in Metering and Related Services* rule change (the 'Power of Choice' rule change). The new arrangement has created a fundamental transformation of the energy sector. The key gateway to customers – the meter – has been opened to more competition, particularly in relation to small customers. As a result, alternative providers have become responsible for the installation and delivery of most metering services within our supply area.⁶

As a consequence of the Power of Choice changes coming into effect, we have amended a number of prices for our existing Alternative Control Services. In the main, these changes are required to remove and/or disaggregate the metering component that has become subject to contestability. In some circumstances, we have reallocated costs, and commenced levying user-specific charges on the appropriate party (e.g. new visual examination services to be requested by – and charged for – retailers or Metering Co-ordinators).

A summary of Alternative Control Services affected by the changes is set out in Table 2.1 below.

⁴ The Product Code "GENCF" will apply to call out fees associated with POA services. Costs are calculated in accordance with the quoted services formula.

⁵ Available on our website: https://www.ergon.com.au/_data/assets/pdf_file/0005/631490/Pricing-Proposal-2018-19-V2.0_AER-approved.pdf

⁶ The Power of Choice changes only apply to supply networks that are connected to the national grid, and subject to Chapter 7 of the NER. Ergon Energy will remain responsible for metering in our Mount Isa-Cloncurry and Isolated supply networks.

Table 2.1: Summary of Power of Choice changes made on 1 December 2017

Service	Changes
<i>Fee based services</i>	
Upfront meter charges (Install new or replacement Type 5 and 6 meter)	From 1 December 2017, this service ceases to be offered in grid-connected areas of our supply network.⁷
Temporary connection, not in permanent position – single phase or multi-phase meter	- The price of this service has been amended to remove or disaggregate the metering component that is now subject to contestability. - The metering component fee is added to the fee of the primary service where Ergon Energy is still responsible for metering at a premises. This means multiple product codes and charges may apply for Temporary Connection services.
Supply abolishment during business hours	- The price of this service has been amended to remove, or disaggregate the metering component that is now subject to contestability. - A new metering component fee has been introduced to cover the metering work undertaken by Ergon Energy in conjunction with a supply abolishment.
Re-energisation during business hours or after hours ⁸	- In certain circumstances, Ergon Energy is still required to perform visual safety examinations by regulation. - A new visual examination sub-set service has been introduced to allow Retailers or Metering Co-ordinators to request this service, prior to performing their own remote re-energisation.
<i>Quoted Services</i>	
Auxiliary metering services (various)	From 1 December 2017, some auxiliary metering services (e.g. special meter read, meter test, meter re-seal) are no longer performed by Ergon Energy (i.e. where we are not the Default Metering Provider or Responsible Person for the premises).
Customer or retailer requested appointments	- From 1 December 2017, this service has been expanded to allow charges to be levied on retailers and metering providers for relevant Power of Choice services (e.g. where Ergon Energy attendance is require to isolate power to facilitate a meter installation, or to restore supply where the metering provider's installation is found to be at fault). - A new item (and associated product codes) has been created to cover appointments requested by Metering Co-ordinators.
Other quoted services including metering related components (various)	- Appropriate adjustments have been made to the quoted price at the time of the customer's enquiry to remove any metering related components that are no longer performed by Ergon Energy from 1 December 2017. The quoted price has been disaggregated into two components – one for the primary service being requested and the other for any metering related work to be delivered by Ergon Energy in conjunction with the requested service (metering component fee). - Where applicable the metering component fee is added to the total price of the quoted service. This means multiple product codes (and charges) apply for some quoted services.
Call out fees for quoted services	In addition to the existing generic call out fee product code which may be applied to certain quoted services, a new generic product code has been created to apply where the Metering Co-ordinator is identified to be at fault.

It is important to note that the new arrangements described above only apply to those parts of Ergon Energy's area of supply that are connected to the National Electricity Market (NEM). However, the metering related charges are still levied in the Mount Isa-Cloncurry and Isolated supply networks as we remain responsible for metering in these areas.

⁷ Ergon Energy will remain responsible for the maintenance of its existing fleet of Type 5 and 6 meters, including distributor initiated replacements.

⁸ Re-energisation after hours is a quoted service, however the service is capped to a fixed fee by Schedule 8.

Appendix 1: Statement of tariff classes and tariffs

Consistent with clause 6.18.9 of the National Electricity Rules (NER), the information contained within this appendix, together with the *2018-19 Network Tariffs* spreadsheet forms our statement of tariff classes and tariffs for Alternative Control Services for 2018-19.

1. Published rates

A listing and description of each of our Alternative Control Services and call out fees⁹ have been published in a separate spreadsheet, *2018-19 Network Tariffs* (Tab entitled “ACS Price List”), which is available with this document on our website.

2. Procedures for assigning and reassigning customers to tariffs and tariff classes

Appendix E of our TSS provides information on how customers are assigned or reassigned to tariffs and tariff classes for Alternative Control Services, and the process retailers should follow if they do not agree with an assignment or reassignment decision that we have made. The TSS is available on our website:

www.ergon.com.au/network/network-management/network-pricing/network-tariffs

A listing of tariff classes and tariffs applicable to each class is published in our *2018-19 Pricing Proposal* and the *2018-19 Network Tariffs* spreadsheet.

3. Application of ACS tariffs

Fee based and quoted services

- A description of each of our fee based and quoted services, including associated rates and product codes is available in the *2018-19 Network Tariffs* spreadsheet.
- Prices for most quoted services are available on a ‘Price on Application’ (POA) basis and are not contained in the *2018-19 Network Tariffs* spreadsheet. It should be noted, however, that the spreadsheet sets out prices for some quoted services which are capped by Schedule 8 of the *Electricity Regulation 2006*.
- Some fee based and quoted services must be requested via a B2B Service Order Request from the customer’s retailer. An indication of these services is set out in the *2018-19 Network Tariffs* spreadsheet.

Default Metering Services

- Rates and associated product codes for Default Metering Services are published in the *2018-19 Network Tariffs* spreadsheet.
- Default Metering Services charges are billed as a network tariff component in the Statement of Charges to retailers. Our SAC network tariffs contains an additional component code (e.g. “C”, “X” or “B”) to denote which Alternative Control Service charges apply, as shown in the table

⁹ Excluding call out fees for quoted services not impacted by Schedule 8 of the *Electricity Regulation 2006*.

below. For example “EBIBXT1” refers to the East Business Inclining Block – TUOS Region 1 network tariff, where a daily capital metering charge also applies.

Table A1.1: Tariff series for SAC network tariffs

Tariff series	Network Tariff Code example	Daily metering charges	
		Capital	Non-capital
Standard	EBIBT1	✓	✓
‘C’ series	EBIBCT1	✗	✗
‘X’ series	EBIBXT1	✓	✗
‘B’ series	EBIBBT1	✗	✓

- Where the daily capital and/or non-capital charge does not apply to a premises, the charging component will not appear on the Statement of Charges to retailers.
- Further detail on the charges applicable for metering services we provide (including Default Metering Services) is set out in Appendix 2.

Public Lighting Services

- A description of each Public Lighting Service, including rates and associated product codes are published in the *2018-19 Network Tariffs* spreadsheet.
- Public Lighting Services charges are billed as a network tariff component in the Statement of Charges to retailers. Our SAC unmetered network tariffs contain an additional component code (e.g. “MI”, “MA”) to identify minor and major public lighting installations that we are responsible for operating and maintaining (i.e. where daily public lighting services charges apply).
- Further detail on Public Lighting Services charges and other services we provide in connection with a public lighting installation is set out in Appendix 3.

4. Other B2B services

We provide a number of other services that are raised through a B2B Service Order Request, which are not contained in the *2018-19 Network Tariffs* spreadsheet (e.g. new connection in permanent position, final meter read). These B2B service requests will have a zero rate applied, because the costs for undertaking the work are either a Standard Control Service (i.e. recovered through network tariffs) or covered by another Alternative Control Services charge (e.g. Default Metering Services).

5. Unregulated services

We offer a number of unregulated services which are not subject to economic regulation by the AER (e.g. watchman lights, Type 1-4 metering).¹⁰ These services are generally considered non-distribution services, or are services where there is sufficient competition for no regulation at all (contestable services). Our unregulated services are not covered by this document or included in the *2018-19 Network Tariffs* spreadsheet. Additional charges will apply in the provision of unregulated services.

¹⁰ Further information on unregulated or unclassified distribution services is set out in Attachment 13 of the Distribution Determination available on the AER’s website.

Appendix 2: Metering services

Ergon Energy provides a range of metering services. This appendix outlines the service classification applying to each service grouping and how we recover the associated costs from customers.

Unregulated metering services

Type 1 to 4 meters record detailed energy usage and have a number of other capabilities, the most significant being remote communications facilities. These meters are not regulated by the AER. This means the business providing the service determines the associated costs and passes these costs directly on to the customer.

Standard Control Services

Type 7 metering services apply where the metering installation does not require a meter under the NER (e.g. street, traffic, park and community lighting meters). Other metering related services associated with the provision of network services to our customers are also classified as Standard Control Services. This includes services related to load control and meter data management.

The costs associated with Standard Control Services are recovered from customers through network tariffs billed to retailers. Our *Information Guide for Standard Control Services Pricing* provides further information on how the revenue requirements associated with Standard Control Services are passed on to customers.

Alternative Control Services

We provide three types of Alternative Control Services in relation to metering services:

- Auxiliary Metering Services
- Upfront metering charges
- Default Metering Services.

Auxiliary Metering Services

Auxiliary Metering Services are non-routine metering services that we provide on request (e.g. special meter reads or meter tests). They are priced on a quoted basis. This means the costs to us in undertaking this work are recovered through separate charges levied on those who utilise the particular service. Tariffs for this service group are calculated on a POA basis, with the exception of certain services impacted by Schedule 8 of the *Electricity Regulation 2006*. Refer to the *2018-19 Network Tariffs* spreadsheet.

Call out fees may also apply.

Upfront metering charges

Upfront metering charges apply when a customer requests a new or replacement Type 5 or 6 meter (on or after 1 July 2015). Call out fees may also apply.

Since 1 December 2017, these services have ceased to be offered in grid connected areas of our network. However, we remain responsible for metering in our Mount Isa–Cloncurry and Isolated supply networks.

Meter replacement (applies only to Mount Isa–Cloncurry and Isolated supply networks)

We offer eight tariffs for meter replacements, which are differentiated by:

- The type of meter (i.e. single phase, dual element, polyphase or current transformer)
- The type of feeder the customer is connected to (i.e. either urban/short rural or long rural/isolated).

The upfront charges applying to Type 5 and 6 meter replacements initiated by a customer are classified as a fee based service and are provided in the *2018-19 Network Tariffs* spreadsheet.

New meter installation (applies only to Mount Isa–Cloncurry and Isolated supply networks)

We have developed 17 tariffs, which are distinguished by:

- The type of meter (i.e. single phase, dual element, polyphase or current transformer)
- The type of metering service (i.e. primary, controlled load and embedded generation)
- Whether the meter is an additional meter at the customer's premises
- Whether the new meter is required to accommodate additional tariffs other than controlled load or an embedded generation installation.

The upfront charges applying to new Type 5 and 6 meter installations are classified as a fee based service and are provided in the *2018-19 Network Tariffs* spreadsheet.

After hours installation (applies only to Mount Isa–Cloncurry and Isolated supply networks)

The installation and provision of a new or replacement Type 5 or 6 meter after hours is classified as a quoted service. Charges for this service are calculated on a POA basis. Refer to the *2018-19 Network Tariffs* spreadsheet.

Default Metering Services

Ergon Energy has six metering service charges, which are distinguished by:

- the type of metering service:
 - Primary
 - Controlled Load
 - Embedded Generation
- the type of cost recovery:
 - Capital¹¹
 - Non-capital.¹²

The metering service charges that apply to customers will differ depending on the customer's circumstances. Figure 2 and Figure 3 in this appendix illustrates, at a high level, when each charge will apply.

For billing purposes, the annual charges approved by the AER as part of the Pricing Proposal process are converted into daily charges.

The costs of 'wasted' attendance associated with final meter reads¹³ are recovered via a call out fee. There are two call out fees, which are differentiated by the type of feeder the customer is connected to (i.e. urban/short rural or long rural/isolated).

¹¹ Metering asset base recovery and tax.

¹² Operating expenditure.

Each of these charges is set out in the *Price List for Alternative Control Services* spreadsheet.

Changes to Default Metering Services (and Upfront Metering Charges)

In its Distribution Determination, the AER approved upfront metering charges for the installation of new or upgraded Type 5 or 6 meters from the 1 July 2015. We applied these charges in 2015-16 and 2016-17. However, due to system limitations, from 1 July 2015, new meter installations generally incurred an upfront meter charge *plus* a daily capital charge (associated with our Default Metering Services) for a period of time from the date of installation.

As a transitional solution, we developed additional upfront metering charges associated with the installation of new meters on or after 1 July 2015. To achieve a cost neutral outcome for the customer, we discounted these charges by the Net Present Value of the relevant period(s)¹⁴ worth of capital charge(s).

On 1 July 2017, we implemented system enhancements which ensured:

- Capital charges are not applied to any new meter installations on or after 1 July 2017.
- Capital charges are removed from premises where the customer has paid an upfront metering charge, and a new meter has been installed between 1 July 2015 and 30 June 2017. Capital charges will be removed based on the relevant anniversary of the meter installation date.¹⁵

As a result, the capital and non-capital charges associated with our Default Metering Services now apply as per Figure 2 and Figure 3.

In the Mount Isa–Cloncurry and Isolated supply network areas which are Power of Choice exempt, we no longer discount our upfront metering charges.

We have also made some changes to the Network Tariff Codes that apply to our SAC network tariff to enable the correct billing of the Default Metering Services charges. An example of the applicable Network Tariff Code series is included within Figure 2 and Figure 3 of this appendix.

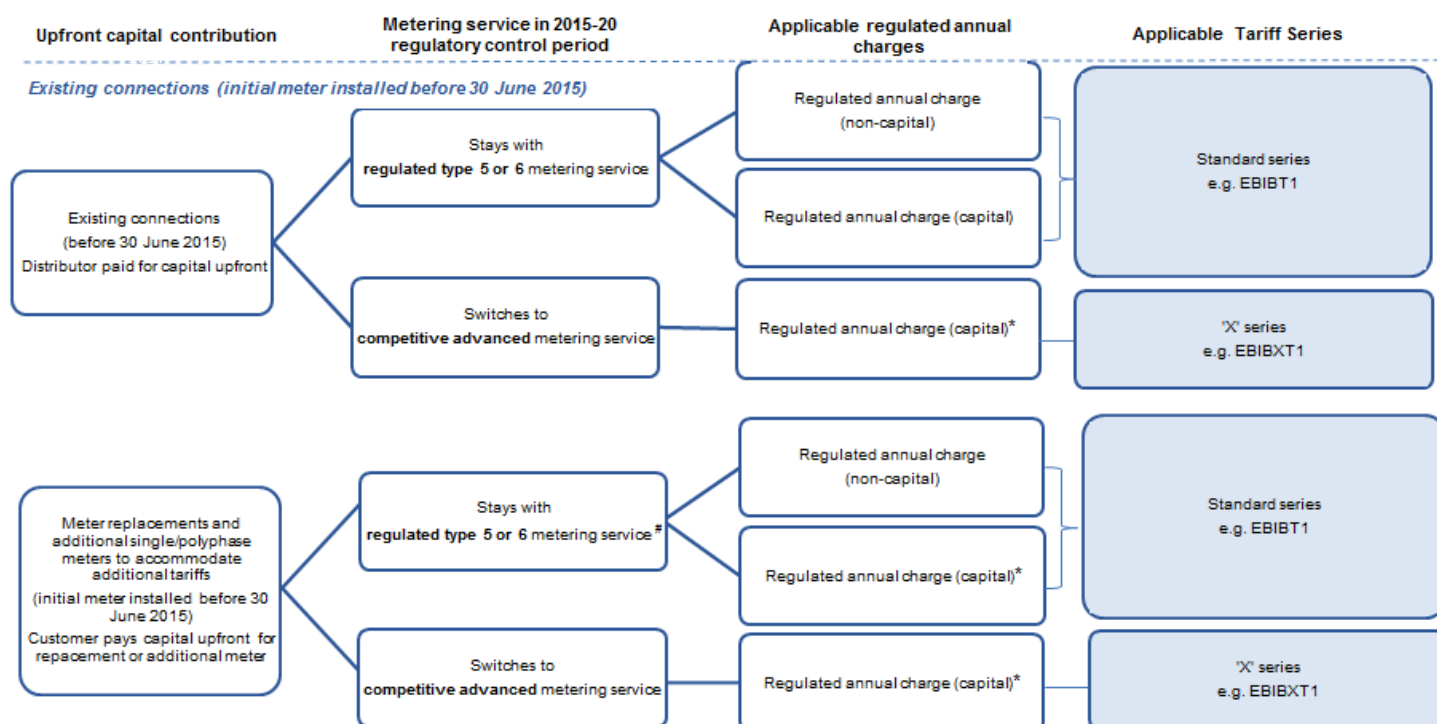
Further detail on the Network Tariff Codes that apply to our SAC tariffs is set out in our Network Tariff Guide available for download on our website: (<https://www.ergon.com.au/network/network-management/network-pricing>).

¹³ Final meter reads form part of the cost build-up of the non-capital charges.

¹⁴ New installation in 2015-16 and 2016-17 were discounted by the NPV of two years' and one year's worth of charge(s) respectively.

¹⁵ For meters installed in 2015-16, capital charges will be removed on the second anniversary of the meter installation date. For meters installed in 2016-17, capital charges will be removed on the first anniversary of the metering installation date.

Figure 2: Application of regulated annual charges - exiting connections

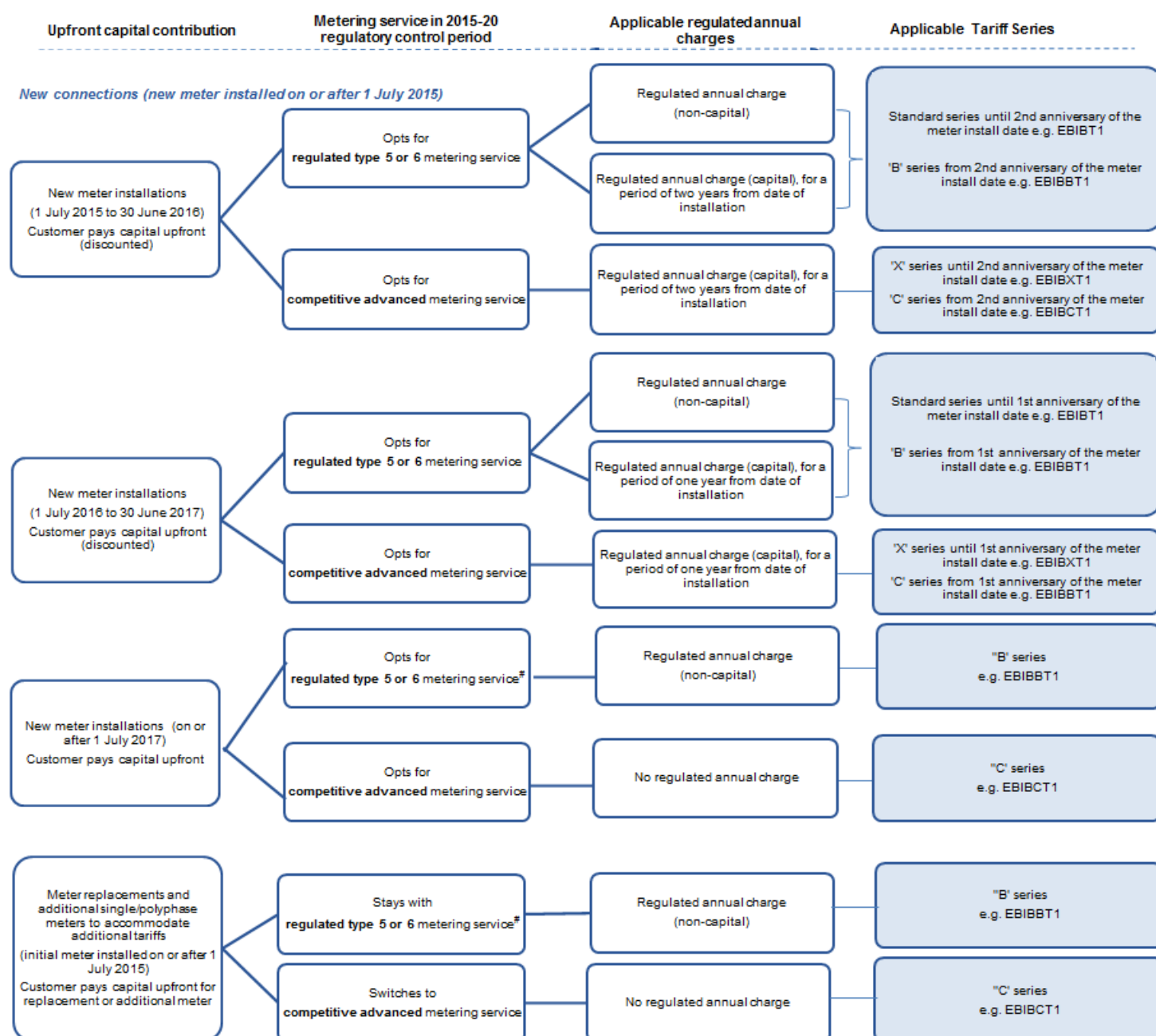


Note:

* Where a Type 5 or 6 meter installed before 30 June 2015 is removed on or after 1 July 2015 (including for meter replacements), the regulated annual capital charge will apply. This is to ensure Ergon Energy is able to recover our capital costs in providing the pre 30 June 2015 meter.

[#] Due to Power of Choice changes, from 1 December 2017, customers in grid connected areas of our supply network are no longer able to elect to install or replace a regulated type 5 or 6 meter from Ergon Energy. Customers have to choose a competitive metering service from an alternative provider. Ergon Energy remains responsible for metering in our Mount Isa – Cloncurry and Isolated supply networks.

Figure 3: Application of regulated annual charges – new connections



Note:

[#] Due to Power of Choice changes, from 1 December 2017, customers in grid connected areas of our supply network are no longer able to elect to install or replace a regulated type 5 or 6 meter from Ergon Energy. Customers will have to choose a competitive metering service from an alternative provider. Ergon Energy remains responsible for metering in our Mount Isa – Cloncurry and Isolated supply networks.

Appendix 3: Public lighting services

Ergon Energy provides both Standard Control Services and Alternative Control Services in connection with public lighting.

Standard Control Services

As is the case with any electrical installation connected to our distribution system, charges will apply for the use of the shared network to convey electricity to a public light installation. The costs we incur in providing Standard Control Services are recovered through network tariffs billed to retailers. Further information is available in the *Network Tariff Guide*.

Alternative Control Services

We provide two main types of Alternative Control Services in connection with public lighting infrastructure:

- Provision, construction and maintenance of public lighting assets, and emerging public lighting technology ('Public Lighting Services')
- Removal/rearrangement of existing public lighting assets.

Other charges may also apply, depending on the service being requested by the public lighting customer (refer to the *2018-19 Network Tariffs* spreadsheet).

Public Lighting Services

The costs of providing Public Lighting Services are recovered through a daily public lighting charge, which we bill retailers. These charges are based on the type of light (i.e. Major or Minor) and the ownership status (i.e. Ergon Energy Owned & Operated (EO&O) or Gifted & Ergon Energy Operated (G&EO)).

Additionally, we will charge a one-off exit fee when a customer requests the replacement of an existing public light for a LED luminaire before the end of its useful operational life.¹⁸ These fees are also distinguished by the type of light and ownership status.

A listing of our daily public lighting charges and exit fees are provided in the *2018-19 Network Tariffs* spreadsheet.

If we are requested by a customer to construct non-standard public lighting, we may require the customer to pay an additional upfront amount towards the cost of the public lighting asset. Section 11 of the TSS sets out how this amount is calculated.

Removal/rearrangement of existing public lighting assets

The removal/rearrangement of existing public lighting assets is a quoted service. This means the costs we incur in undertaking this work are not recovered through the daily public lighting charge, but are instead recovered through separate charges levied on those who utilise the service. Tariffs for this service are calculated on a POA basis. Refer to the *2018-19 Network Tariffs* spreadsheet. Call out fees may also apply.

¹⁸ Outside of the LED Program.

Glossary

Abbreviations

AER	Australian Energy Regulator
AS	Australian Standard
CAC	Connection Asset Customer
DNSP	Distribution Network Service Provider
EG	Embedded Generator
EO&O	Ergon Energy Owned & Operated
Ergon Energy, EECL	Ergon Energy Corporation Limited
G&EO	Gifted & Ergon Energy Operated
GWh	Gigawatt hour
HV	High Voltage
ICC	Individually Calculated Customer
kV	Kilovolt
kW	Kilowatt
Law	National Electricity Law
LED	Light emitting diode
LV	Low Voltage
MWh	Megawatt hour
NEM	National Electricity Market
NER	National Electricity Rules
NMI	National Metering Identifier
p.a.	Per annum
POA	Price on application
SAC	Standard Asset Customer
TSS	Tariff Structure Statement

Definitions

Alternative Control Service	A distribution service provided by Ergon Energy that the AER has classified as an Alternative Control Service under the NER. Includes fee based services, quoted services, Default Metering Services and Public Lighting Services.
Australian Energy Regulator (AER)	The AER is an independent statutory authority that is part of the Australian Competition and Consumer Commission. The AER is responsible for the economic regulation of electricity networks in the National Electricity Market (NEM). It also monitors the wholesale electricity and gas markets and is responsible for compliance with and enforcement of the National Electricity Law (the Law), NER, National Gas Law and Rules, and the National Energy Retail Law and Rules.

Connection	The physical link to or through a transmission network or distribution network.
Connection Asset Customer (CAC)	Typically reflects those customers: ▪ with required capacity above 1,500 kVA ▪ with energy consumption typically greater than 4 GWh per annum (p.a.) (but less than 40 GWh p.a.), or ▪ with required capacity below 1,500 kVA where: ○ a customer has a dedicated supply system which is quite different and separate from the remainder of the supply network, or ○ inequitable treatment of otherwise comparable customers will arise from the application of the 4 GWh p.a. threshold. The CAC group is further subdivided into categories based on voltage levels as follows: ▪ 66 kV – connected to either a 66 kV substation or a 66 kV line ▪ 33 kV – connected to either a 33 kV substation or a 33 kV line ▪ 22/11 kV Bus – connected to either a 22 kV or 11 kV substation ▪ 22/11 kV Line – connected to either a 22 kV or 11 kV line.
Connection assets	Those components of a transmission or distribution system which are used to provide connection services. Connection assets are those assets required to connect an electrical installation to the shared network and are all the assets from the connection point back up to and including the network coupling point.
Connection point	The agreed point of supply established between the Network Service Provider(s) and another Registered Participant, Non-Registered Customer or franchise customer.
Customer	A person or entity that receives, or wants to receive a supply of electricity for a premises, or any other distribution service from Ergon Energy.
Default Metering Services	A type of Alternative Control Service. Relates to: ▪ Type 5 and 6 meter installation and provision (before 1 July 2015) ▪ Type 5 and 6 meter installation and provision (on or after 1 July 2015), where the replacement meter is initiated by Ergon Energy as a distributor ▪ Type 5 and 6 metering maintenance, reading and data services.
Direct Control Service	Distribution services subject to economic regulation by the AER under the NER. Direct Control Services are further subdivided into Standard Control Services and Alternative Control Services.
Distribution Determination	The AER's Distribution Determination sets the revenue and pricing control regime that Ergon Energy must comply with for the current regulatory control period (i.e. 2015–20).
Distribution network	The electrical system used to transport electricity from the high voltage transmission network connection point to distribution network users.

Embedded Generator (EG)	EGs are those network users that export energy into the distribution system, except for network users with micro-generation facilities of the kind contemplated under Australian Standard (AS) 4777.1 – 2005. EGs are separated into two categories: ▪ EGs that are connected to the distribution system and only generate into the distribution system ▪ EGs that are connected to the distribution system, generate and take load from the system.¹⁹
Fee based services	A type of Alternative Control Service which Ergon Energy undertakes at the request of an identifiable customer, retailer or appropriate third party which is levied as a separate charge. The costs of providing the service (and therefore price) can be assessed in advance of the service being requested.
High Voltage (HV)	Refers to parts of the network that are 11 kV or above.
Individually Calculated Customer (ICC)	Typically reflects those customers: ▪ with energy consumption typically greater than 40 GWh p.a., or ▪ with energy consumption lower than 40 GWh p.a. where: ○ a customer has a dedicated supply system which is quite different and separate from the remainder of the supply network ○ there are only two or three customers in a supply system, making average prices inappropriate ○ a customer is connected at or close to a Transmission Connection Point, or ○ inequitable treatment of otherwise comparable customers will arise from the application of the 40 GWh p.a. threshold.
kW	1,000 Watts which is a measure of the real component of power being consumed by the consumer's load.
Low Voltage (LV)	Refers to the sub 11 kV network.
Major customer	Are ICCs, CACs or EGs.
National Electricity Market (NEM)	The interconnected electricity grid covering Queensland, New South Wales, Victoria, Tasmania, South Australia and the Australian Capital Territory.
National Electricity Rules (NER)	Rules made under the Law which govern the operation of the NEM.
National Metering Identifier (NMI)	A unique number assigned to each metering installation.
Network capacity	The maximum demand (kW) that the distribution network can provide for at any one time.
Network coupling point	The point at which connection assets join a distribution network, used to identify the distribution service price payable by a connection customer.
Network user	There are four network user groups included in Ergon Energy's network tariff structures – ICCs, CACs, SACs and EGs. For the purposes of our network pricing documents, the term 'network user' refers to both a 'customer' and an 'EG'.

¹⁹ The load side will be classified as an ICC, CAC or SAC, and a separate network tariff will apply.

Premises	Means premises owned or occupied by the customer.
Public Lighting Services	A type of Alternative Control Service. Relates to the provision, construction and maintenance of public lighting assets owned by Ergon Energy, and emerging public lighting technology. Also encompasses public lighting exit fees.
Public lights – Major	Includes the following lantern types: ▪ Metal Halide – above 125 W ▪ Mercury Vapour – above 125 W ▪ High Pressure Sodium – above 100 W.
Public lights – Minor	Includes the following lantern types: ▪ Compact Fluorescent – all wattages ▪ Fluorescent – all wattages ▪ Metal Halide – up to and including 125 W ▪ Incandescent – all wattages ▪ Low Pressure Sodium – all wattages ▪ LED – all wattages ▪ Mercury Vapour – up to and including 125 W ▪ High Pressure Sodium – up to and including 100 W.
Quoted services	A type of Alternative Control Service. Similar to fee based services, but they are priced on application as the nature and scope of these services is variable and the cost (and therefore price) is specific to the individual requestor's needs.
Standard Asset Customer (SAC)	Typically reflects those customers with annual energy consumption below 4 GWh p.a. Includes customers with micro-generation facilities (such as small scale photovoltaic generators) of the kind contemplated under AS 4777.1 – 2005. The SAC group is further subdivided into network tariff categories based on whether: ▪ the customer's connection is metered or unmetered ▪ the customer's consumption relates to residential or business use ▪ the customer is taking supply at high voltage or low voltage ▪ the customer's consumption is above or below 100 MWh p.a. ▪ the customer has a meter installed capable of recording demand ▪ the customer's supply is capable of being controlled by Ergon Energy.
Standard Control Service	A distribution service provided by Ergon Energy that the AER has classified as a Standard Control Service under the NER. Includes network services, some connection services (including small customer connections) and Type 7 metering services. Ergon Energy recovers our costs in providing Standard Control Services through the DUOS component of network tariffs which are billed to retailers.

Tariff class	A class of customers for one or more Direct Control Services who are subject to a particular tariff or particular tariffs (as defined in the NER). Ergon Energy has five tariff classes for Alternative Control Services: ▪ fee based services (urban/short rural) ▪ fee based services (long rural/isolated) ▪ quoted services ▪ Default Metering Services ▪ Public Lighting Services.
Unmetered	A customer who takes supply where no meter is installed at the connection point.

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